EXECUTIVE SUMMARY

1. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904.

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 32,858 in a 6,572 households (Actual data from the MHO based on BHW Census 2013). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P313,973,197.61, P38,106,805.13 and P275,866,392.48, with an increase of 67.46%, 27.05% and 75.15%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P143,188,856.47 and P117,903,938.96, which increased by 9.76% and 21.50%, respectively, from last year's figures.

Particulars	2018	2017	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P313,973,197.61	P187,496,797.57	P126,476,400.04	67.46%
Liabilities	38,106,805.13	29,993,209.57	8,113,595.56	27.05%
Govt. Equity	275,866,392.48	157,503,588.00	118,362,804.48	75.15%
Financial Performance				
Income	P143,188,856.47	P130,456,277.84	P12,732,578.63	9.76%
Expenses	117,903,938.96	97,036,549.05	20,867,389.91	21.50%
Appropriations, Allotments and Obligation				
Appropriations	P190,861,624.52	P179,596,185.93	P11,265,438.59	6.27%
Allotments	190,861,624.52	179,596,185.93	11,265,438.59	6.27%
Obligations	165,400,383.93	130,879,711.04	34,520,672.89	26.38%

Comparative Statement of Funds Transfer to and from NGAs, NGOs and POs.

Particulars	2018	2017	Increase/(Decrease)
Funds Transferred to Other Agencies:			
Due from NGAs	P 40,205.51	P 70,205.51	(P 30,000.00)
Due from GOCCs	16,653.70	16,653.70	-
Due from LGUs	445,812.05	1,070,751.05	(624,939.00)
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 502,671.26**	**P 1,157,610.26**	**(P 654,939.00)**
Funds Transferred from Other Agencies:			
Due to NGAs	P 10,130,017.52	P 8,061,630.95	P 2,068,386.57
Due to GOCCs	245,082.24	256,605.50	(11,523.26)
Due to LGUs	2,194,089.29	385,124.20	1,808,965.09
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 12,569,189.05**	**P 8,703,360.65**	**P 3,865,828.40**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements since the correctness and validity of the Road Networks account as part of LGU's Property, Plant and Equipment (PPE) valued at P110,723,891.42 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to strictly observed complete and proper accounting and reporting guidelines on local road network system. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said account.

4. Summary of Audit Observations and Recommendations

For the CY 2018, the Municipality of Allacapan, Cagayan thru the leadership of Honorable Mayor Harry D. Florida and the members of the Legislative Body and the Executive Staff, received the National Award in Seal of Good Local Governance conferred by the Department of Interior and Local Government, 3rd Rank in the National Award of Cities and Municipalities Competitiveness Index in Infrastructure Pillar and Most Competitive Municipality in Region 2 awarded by the DTI – Regional Office No. 2. Also, its Municipal Park and Municipal Public Market was awarded as the Best Park and Market by the Cagayan Provincial Sustainable Committee for 2018.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account of ₱110,723.891.42 as of December 31, 2018 could not be ascertained.

   We recommended that the Local Chief Executive enjoin the concerned departments to strictly follow and implement the provisions contained in the above mentioned Circular to fairly present the book value of the Road Networks account in the Financial Statements of the Municipal Government.

2. The Municipality of Allacapan engaged the services of 106 job order workers with a total paid payroll amounting to P9,789,500.19 for CY 2018 to carry out functions supposedly of regular/casual employees, thus, may not be economical and efficient considering the possible risks involved due to absence of accountability and hold over of said workers.

   We recommended that Management revisit its staffing pattern and consider the funding of the created positions. In this regard, the LGU may fill up its vacant plantilla positions and reduce the number of job order workers, thus, establish more accountability at work.

3. Donations and financial assistance amounting to P7,385,153.45 were granted without appropriate and complete documentation due to the Municipality's failure to establish a well-defined policy and guidelines on the grant of financial assistance contrary to Section 2 and 4 (6) of Presidential Decree (P. D.) No. 1445 and Section 335 of Republic Act (R. A.) No. 7160.

   We recommended that the Municipality undertake the following measures to regulate the granting of financial assistance:

   1. Require the Sangguniang Bayan to enact a resolution prescribing the policies and guidelines on the grant of donations/financial assistance containing the following:

      - Kind of financial assistance (medical, educational, funeral, etc.)
      - Approval limits for specific cases, including on the frequency of grants to each individual
      - Criteria in the granting of donation and the documentary requirements for each particular assistance
      - All cases should be referred to the MSWDO for eligibility evaluation and the case study report prepared should be made part of the supporting documents of the claim.

2. See to it that applicable laws, rules and regulations, particularly Section 2, 4 (6) of P.D.1445 and Section 335 of R. A. 7160 are observed in the disbursement of public funds to avoid disallowance in audit.

3. Appropriated funds for financial assistance/donations should be fully transferred to the MSWDO.

4. Refrain from charging financial assistance against Other Maintenance and Other Operating Expenses account because this practice depletes the budget for operating activities of the Municipality.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	6,725,150.46	-	611,217.51	6,113,932.95	9.09%
Current Year	-	-	-	-	
Total	**6,725,150.46**	**-**	**611,217.51**	**6,113,932.95**	9.09%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the seventeen (17) audit recommendations contained in the Annual Audit Report for Calendar Year 2017, eight (8) were fully implemented, one (1) were not implemented and eight (8) were partially implemented.